

chp #2

Indifference curve and Budget line

Topic:- Income affects Budget line



Zarak Mushtaq



② Income effect $\Rightarrow$ Real income % = $\frac{\text{Nominal or money income \%}}{\text{Inflation \%}}$

Review some concepts

* Normal goods

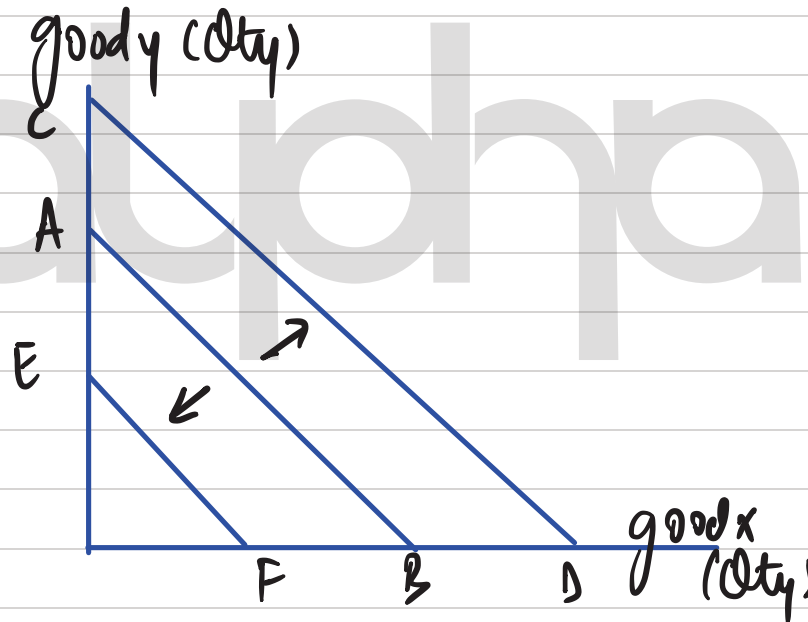
- High quality
- luxury
- Expensive
- Income $\uparrow$ Demand $\uparrow$
- Income $\downarrow$ Demand $\downarrow$
- Positive Relationship!

* Inferior goods

- Relatively low Quality
- Income $\uparrow$ Demand $\downarrow$
- Income $\downarrow$ Demand $\uparrow$
- Negative Relationship

Represents purchasing power as its adjusted with inflation

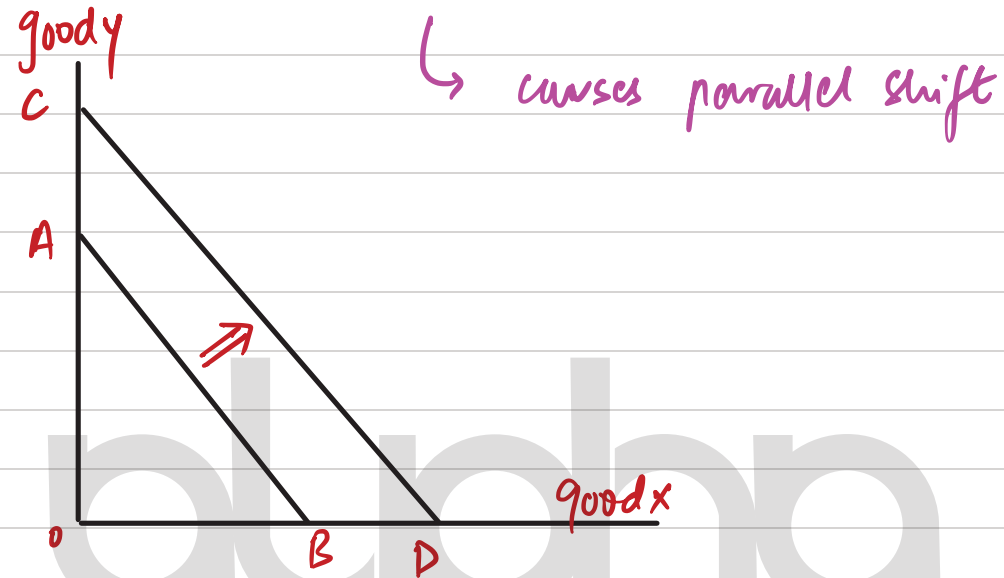
causes shift in Budget line



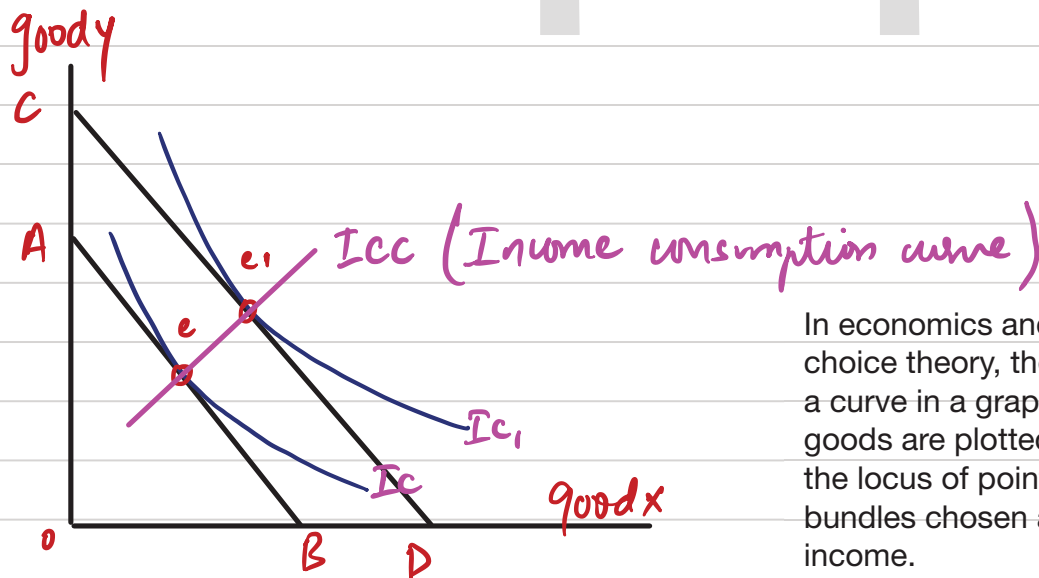
* Real income $\uparrow$
Rightward shift in Budget line

* Real income $\downarrow$
Leftward shift in Budget line

Effect of increase in real income



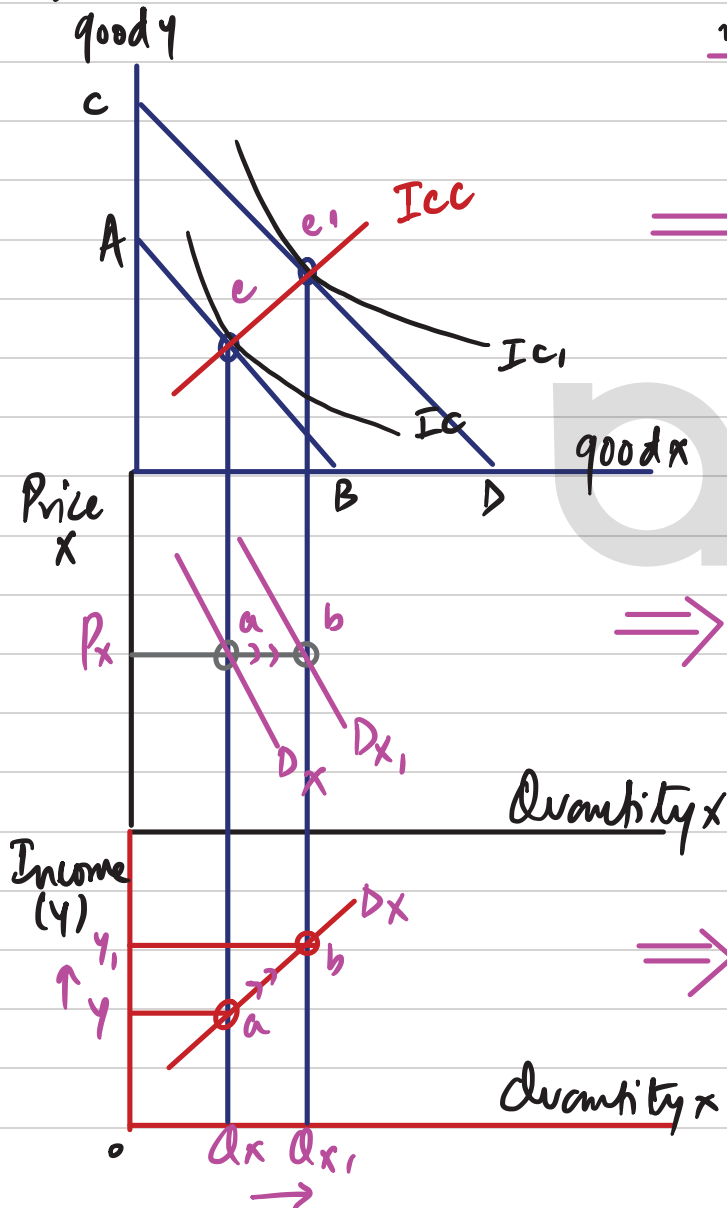
Effect of increase in real income on consumer equilibrium



In economics and particularly in consumer choice theory, the income-consumption curve is a curve in a graph in which the quantities of two goods are plotted on the two axes; the curve is the locus of points showing the consumption bundles chosen at each of various levels of income.

Effect of increase in income on consumer equilibrium, deriving demand curve, with

normal goods.



Initial Budget line 'AB'
 I_C tangent at 'e', forming equilibrium
 Real income rises, budget line shifted to CD
 New I_C tangent to new budget line at e_1
 New Equilibrium formed
 Joining both equilibriums, forms ICC!

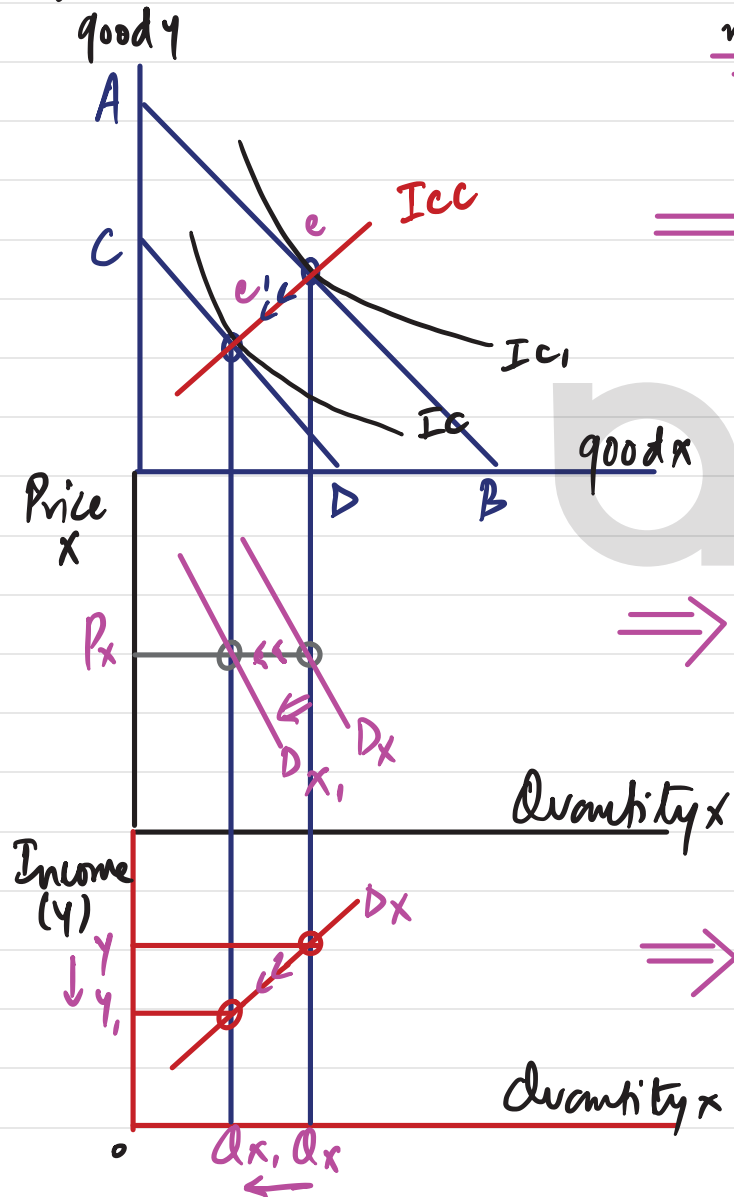
Income (other factor) $\Rightarrow$ causes shift
 Income $\uparrow$ Demand $\uparrow$
 e.g. private transport

Diagram showing relationship of
 income and demand of
 normal goods

$y \uparrow \quad \Delta \uparrow$ (+ve Relationship)
 Upward sloping.

Effect of decrease in income on consumer equilibrium, deriving demand curve, with

normal goods.



Initial Budget line 'AB'
 I_C tangent at 'e', forming equilibrium
 Real income falls, budget line shifted to CD
 New I_C tangent to new budget line at e_1
 New Equilibrium formed
 Joining both equilibriums, forms ICC!

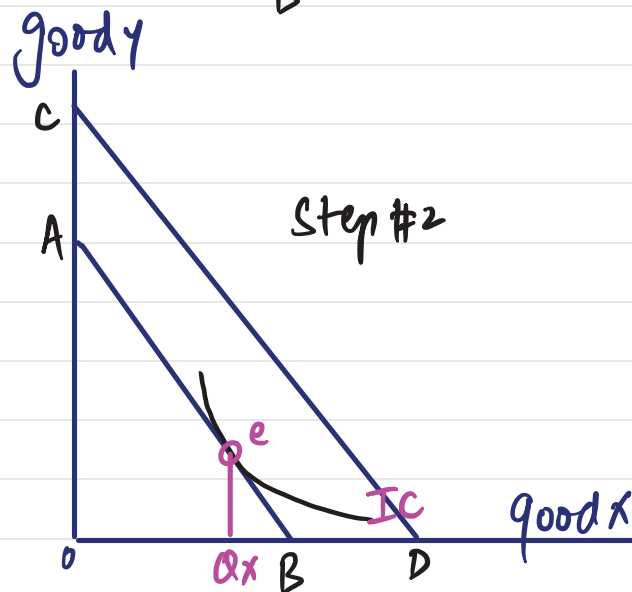
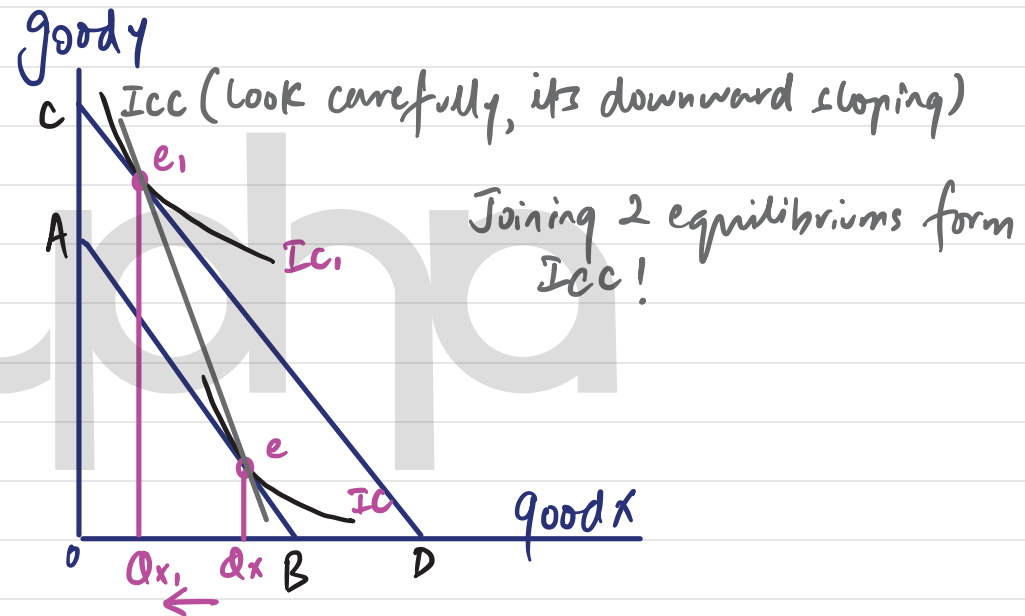
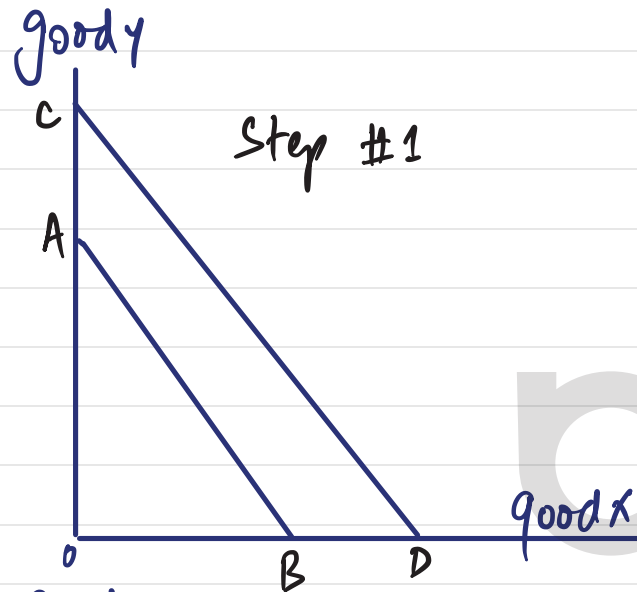
Income (other factor) ⇒ causes shift
 Income ↓ Demand ↓
 e.g. private transport

Diagram showing relationship of
 income and demand of
 normal goods

$Y \downarrow \Delta \downarrow$ (+ve Relationship)
 Upward sloping.

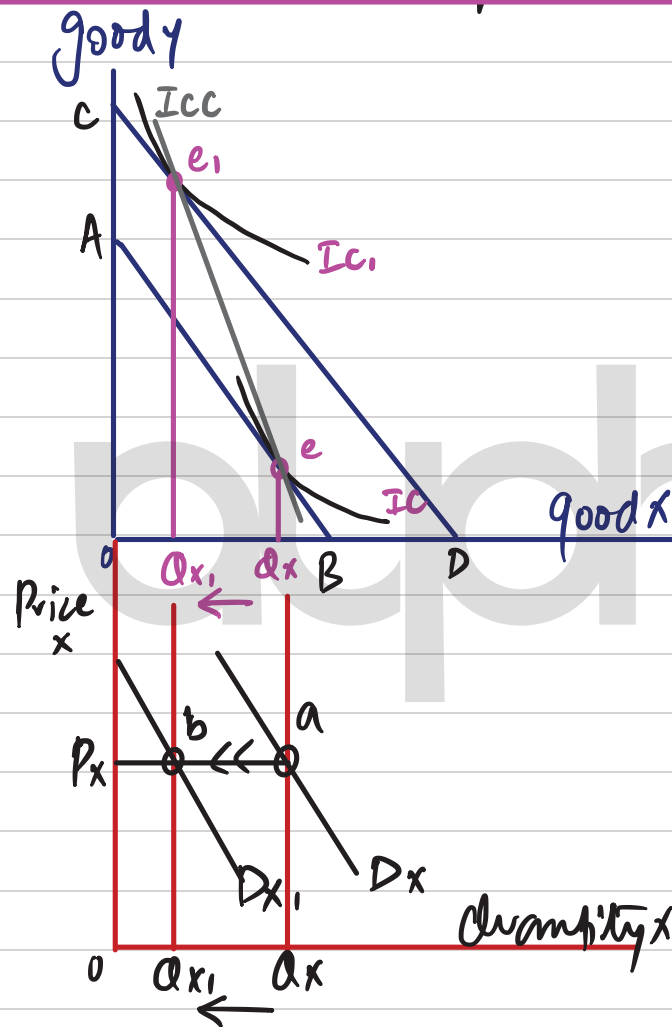
Effect of increase in real income on consumer equilibrium, with inferior good

Income $\uparrow$ Demand $\downarrow$
Negative Relationship



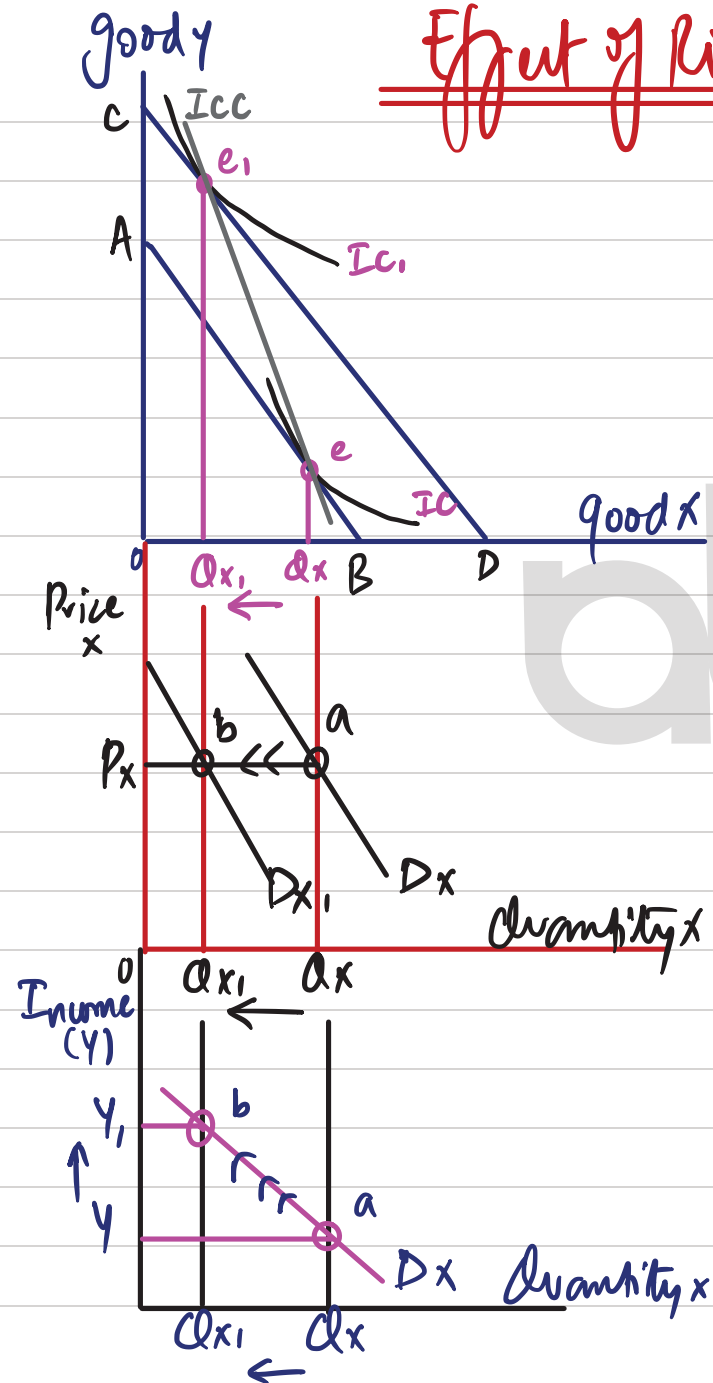
* Indifference curves can't be drawn parallel as it is the case of inferior goods

Effect of a rise in income on consumer equilibrium, deriving demand curve, with inferior good



Income $\uparrow$
Demand $\downarrow$

Effect of Rise in income (inferior good)

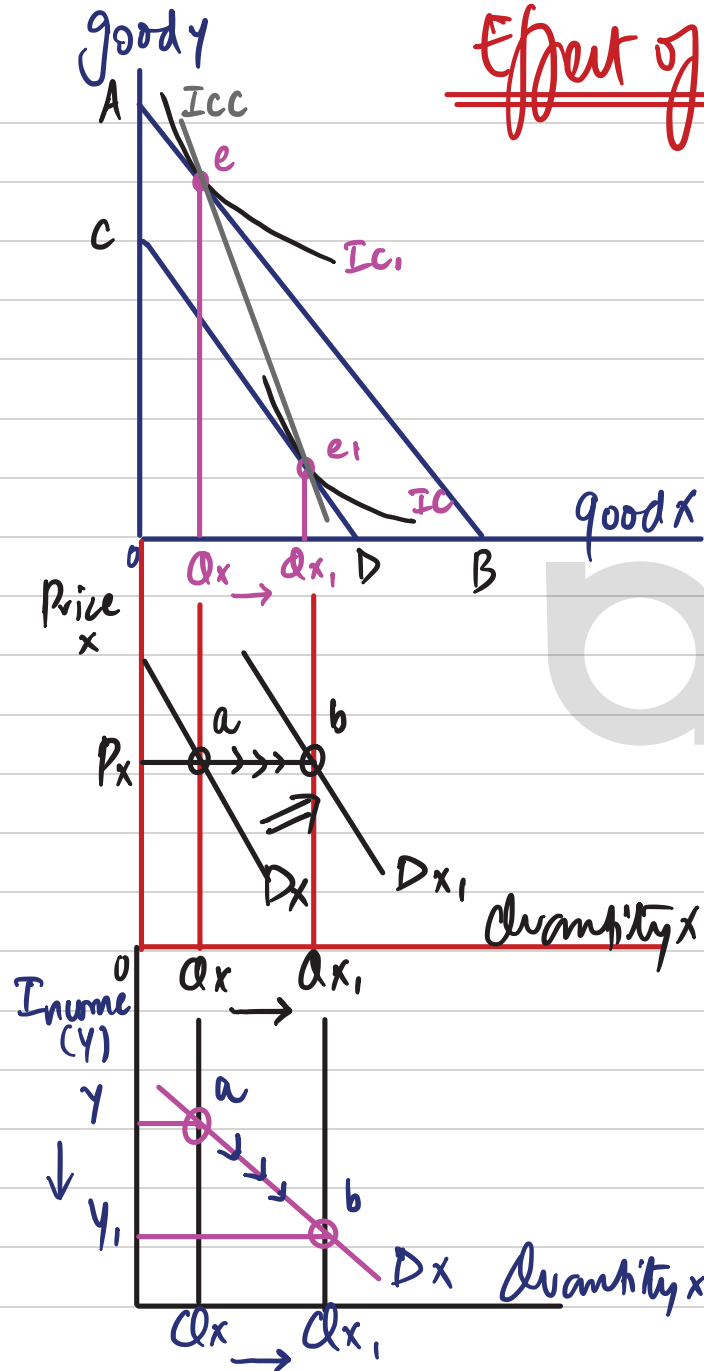


Initial Budget line 'AB'
 IC tangent at 'e', forming equilibrium
 Real income rises, budget line shifted to CD
 New IC tangent to new budget line at e1
 New Equilibrium formed
 Joining both equilibriums, forms ICC!

Income (other factor) $\Rightarrow$ causes shift
 Income $\uparrow$ Demand $\downarrow$
 e.g. public transport

Diagram showing relationship of
 income and demand of
 inferior goods
 $Y \uparrow \Delta \downarrow$ (-ve Relationship)
 Downward sloping.

Effect of fall in income (inferior good)

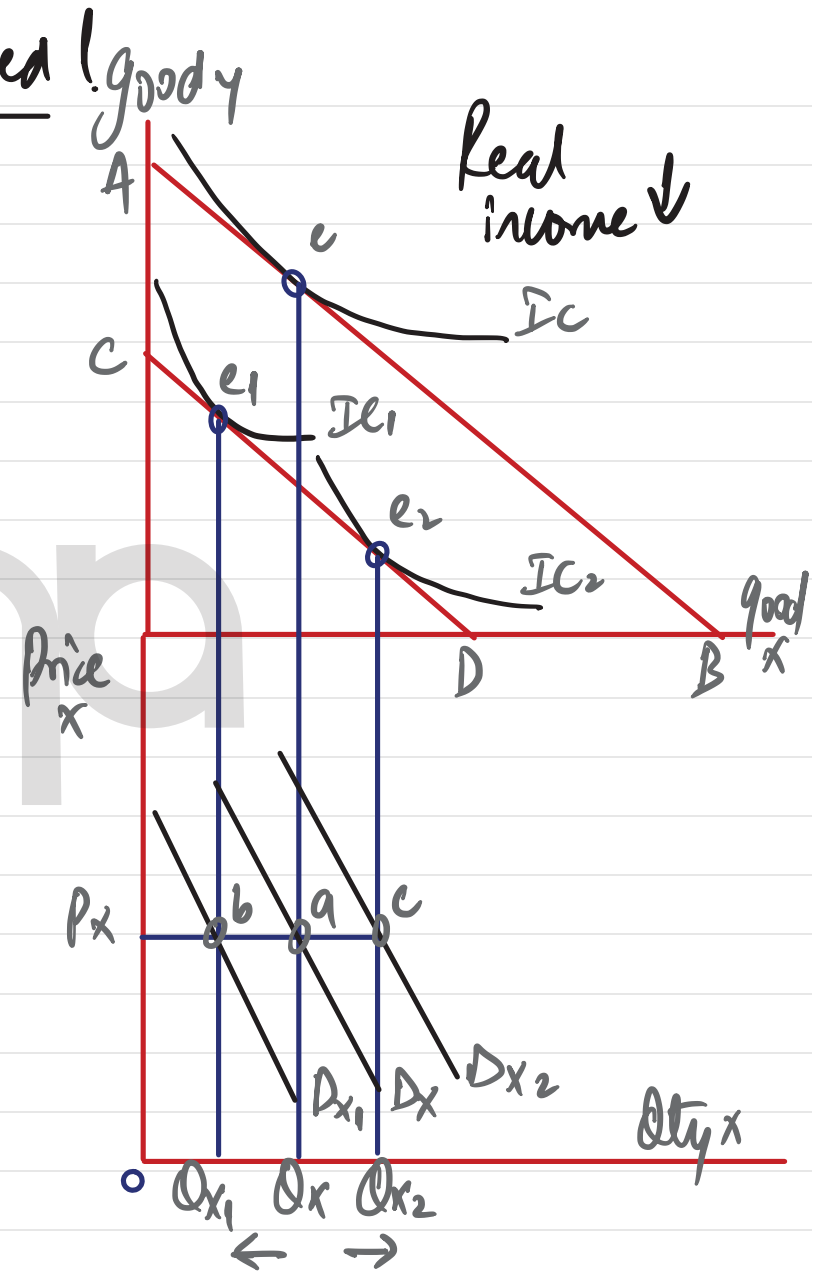
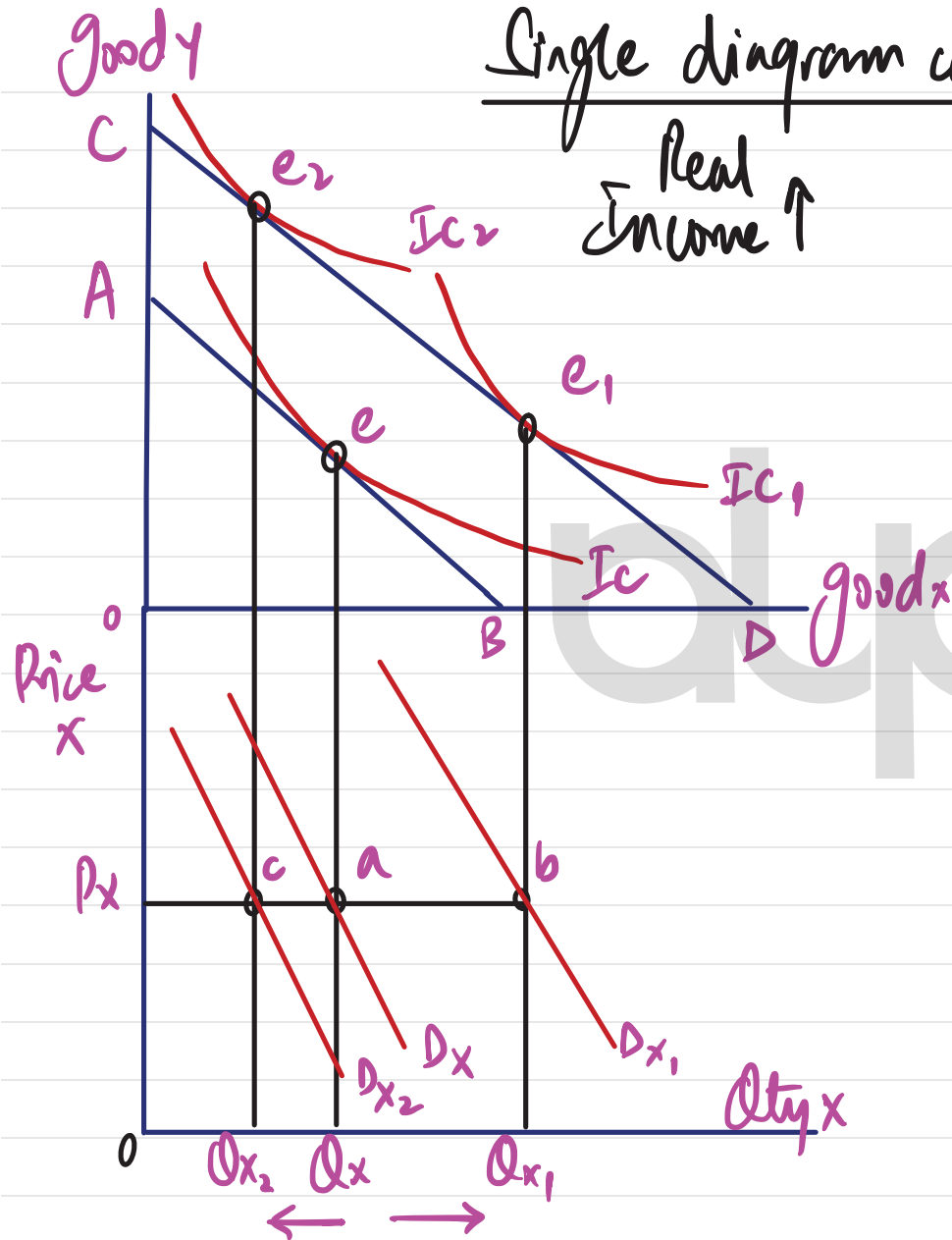


Initial Budget line 'AB'
 I_C tangent at 'e', forming equilibrium
 Real income falls, budget line shifted to CD
 New I_C tangent to new budget line at e_1
 New Equilibrium formed
 Joining both equilibriums, forms I_{CC} !

Income (other factor) $\Rightarrow$ causes shift
 Income $\downarrow$ Demand $\uparrow$
 e.g. public transport

Diagram showing relationship of
 income and demand of
 inferior goods
 $y \downarrow \Delta \uparrow$ (-ve Relationship)
 Downward sloping.

Single diagram can be used!



Questions

Marks: 20

Q1 Using budget line only, explain the effect of changes in real income? 4

Q2 Using connectivity diagram, explain the effect of increase in real income on consumer equilibrium, with different type of good? 8

Ans:- Define Normal and inferior
Diagrams or Diagram + Explain it

Q3 Using connectivity diagram, explain the effect of decrease in real income on consumer equilibrium, with different type of good? 8

Ans:- Diagrams or Diagram + Explain it